

Chapter 8: Theory Meets Practice: Developing a Sustainable Spending Strategy

We have covered a number of important topics to help inform decisions about sustainable spending rates from investments and the factors that influence these decisions. But what is the right withdrawal rate and the appropriate asset allocation to use in retirement? The answer obviously depends on personal circumstances. There is no one-size-fits-all solution. This point should be clear throughout the book, and the closest I have come to providing any type of personalized advice thus far was at the end of chapter 6 when I introduced the Retirement CARE Analysis™ and discussed the parameters for PAY Rules that could be applied for conservative, moderate, and aggressive retirees.

This chapter extends the discussion about personalization for your withdrawal rate by explaining how theory meets practice at McLean Asset Management. I will discuss the framework that Alex Murguia, managing principal at McLean Asset Management, and I have developed to advance our clients through the necessary steps to build an efficient retirement income strategy. This includes deciding on a withdrawal rate and asset allocation. Later in this chapter, I will explain the overall logic and thought process of our Retirement Income Optimization framework used to build your personalized RIO-Map™. We have designed this to guide our clients toward personalized solutions. I always stand ready with McLean Asset Management to help readers work through our framework, if you seek personalized assistance beyond what can be provided in book form. Please see <http://www.retirementresearcher.com/rio-book> for more details.

Remember, the process of building a retirement income strategy involves determining how to best combine retirement income tools to optimize the balance between *meeting* your retirement goals and *protecting* those goals from the unique risks of retirement. Retirement risks come in many forms, including unknown planning horizons, market volatility, inflation, and spending shocks that can derail your plan. Each of these risks must be managed by combining different income tools and tactics with different